Real Estate Finance – Case Study

LSE Presentation

Q1 2026

Proprietary & Confidential

Disclaimer

General

- The information in this presentation is provided by Deutsche Finance International LLP (“DFI" or the "Company") for general informational purposes only and is not a formal offer to sell or a solicitation of an offer to buy any securities, options, futures, or other derivatives related to securities in any jurisdiction and its content is not prescribed by securities laws. This presentation does not constitute either advice or a recommendation regarding any securities. The communication of the presentation is restricted by law, it is not intended for distribution to, or use by any person in, any jurisdiction where such distribution or use would be contrary to local law or regulation.

- Information contained in this presentation should not be relied upon as advice to buy or sell or hold such securities or as an offer to sell such securities. This presentation does not take into account nor does it provide any tax, legal or investment advice or opinion regarding the specific investment objectives or financial situation of any person. While the information in this presentation is believed to be accurate and reliable, DFI and its agents, advisors, directors, officers, employees and shareholders make no representation or warranties, expressed or implied, as to the accuracy of such information and DFI expressly disclaims any and all liability that may be based on such information or errors or omissions thereof. DFI reserves the right to amend or replace the information contained herein, in part or entirely, at any time, and undertakes no obligation to provide the recipient with access to the amended information or to notify the recipient thereof.

- The information contained in this presentation is intended only for the persons to whom it is transmitted for the purposes of evaluating the Company or any funds or investments associated with the Company. The information contained in this presentation supersedes any prior presentation or conversation concerning the Company or any funds or investments associated with the Company. Any information, representations or statements not contained herein shall not be relied upon for any purpose.

- Neither we nor any of our representatives shall have any liability whatsoever, under contract, tort, trust or otherwise, to you or any person resulting from the use of the information in this presentation by you or any of your representatives or for omissions from the information in this presentation. Additionally, the Company undertakes no obligation to comment on the expectations of, or statements made by, third parties in respect of the matters discussed in this presentation.

- Unless otherwise specified, all information in the presentation is as of the date of the presentation. Neither the delivery of the presentation nor any other communication with you shall, under any circumstances, create any implication that there has been no change in DFI (or any fund or investment associated with DFI) affairs since such date. Except as otherwise noted herein, DFI does not intend to, nor will it assume any obligation to, update the presentation or any of the information included herein.

Confidentiality

- This presentation is confidential and is intended, among other things, to present a general outline of the Company and/or any funds and/or any investments associated with the Company. The contents are not to be reproduced or distributed to the public or press.

- Each person who has received a copy of this presentation (whether or not such person purchases any securities) is deemed to have agreed: (i) not to reproduce or distribute this presentation, in whole or in part, without the prior written consent of the Company, other than to legal, tax, financial and other advisors on a need to know basis, (ii) if such person has not purchased securities, to return this presentation to the Company upon its request, (iii) without the prior written consent of the Company, not to disclose any information contained in this presentation except to the extent that such information was (a) previously known by such person through a source (other than the Company) not bound by any obligation to keep such information confidential, (b) in the public domain through no fault of such person, or (c) lawfully obtained at a later date by such person from sources (other than the Company) not bound by any obligation to keep such information confidential, and (iv) to be responsible for any disclosure of this presentation, or the information contained herein, by such person or any of its employees, agents or representatives.

Forward-Looking Statements and Financial Projections

- Certain information in this presentation and oral statements made in any meeting may be forward-looking and relate to DFI or any fund or any investment associated with DFI in relation to an anticipated financial position, real estate asset, business strategy, events and courses of action. Words or phrases such as "anticipate“, "objective“, "may“, "will“, "might“, "should“, "could“, "can“, "intend“, "expect," "believe“, "estimate“, "predict", "potential“, "plan“, "is designed to" or similar expressions suggest future outcomes.

- Forward-looking statements and financial projections are based on the opinions and estimates of management at the date the statements are made, and are subject to a variety of risks and uncertainties and other factors that could cause actual events or results to differ materially from those anticipated in the forward-looking statements and financial projections. Although we believe that the expectations reflected in the forward-looking statements and financial projections are reasonable, there can be no assurance that such expectations will prove to be correct. We cannot guarantee future results, level of activity, performance or achievements and there is no representation that the actual results achieved will be the same, in whole or in part, as those set out in the forward-looking statements and financial projections.

- By their nature, forward-looking statements and financial projections involve numerous assumptions, known and unknown risks and uncertainties, both general and specific, that contribute to the possibility that the predictions, forecasts, projections and other forward-looking information will not occur, which may cause the Company or any fund or investment associated with the Company’s actual performance and financial results in future periods to differ materially from any estimates or projections of future performance or results expressed or implied by such forward-looking statements and financial projections.

- The forward-looking statements and financial projections contained in this presentation and any associated oral statements are expressly qualified by this cautionary statement. Except as required by law, we undertake no obligation to update or revise publicly any forward-looking statements, whether as a result of new information, future events or otherwise, after the date on which the statements are made or to reflect the occurrence of unanticipated events. Readers are cautioned not to place undue reliance on forward-looking statements or financial projections. Prospective investors should not construe the contents of this presentation as legal, tax, investment or other advice.

- The current global events relating to the outbreak of a novel and highly contagious form of coronavirus (“COVID-19”), which the World Health Organisation has qualified as a pandemic, are ongoing. The potential impacts of COVID-19, including a global, regional or other economic recession are uncertain and difficult to assess. DFI will continue to monitor the situation in relation to COVID-19 as it evolves. DFI is under no obligation to update this presentation but may do so at an appropriate time at its absolute discretion.

Contents

DFI Overview

DFI Introduction

Pan-European real estate manager focused on building customer-centric platforms and mixed-use placemaking

Next-Generation Manager

- Values-based culture
- Best-in-class team
- Partnership approach

Differentiated Strategy

- Thematic
- Platform building
- Special Situations

Solution-Provider Mindset

- Funds
- Co-investments
- Separate accounts

Holstenwall, Hamburg (Illustrative)

DFI Overview

Independently-managed European specialist real estate firm with bespoke products focused on living, industrial and mixed use

Key Metrics

€4.1bn
Assets under management[1]

9
Investment vehicles

27.1%
Realised gross IRR[2]

DFI Evolution

2016 · 2017 · 2018 · 2019 · 2020 · 2021 · 2022 · 2023 · 2024

DFI
Founded

Value-Add Fund I
Discretionary Vehicle (Diversified)

Olympus I
Co-invest Vehicle

Vintage
Living Co-invest Vehicle

Athena
Living Co-invest Vehicle

Blaekhus
Living Co-invest Vehicle

Olympus II
Separate Account

Value-Add Fund II
Discretionary Vehicle (Diversified)

Sol
Living Co-invest Vehicle

Heimdall
Living Co-invest Vehicle

Libra I
Logistics Co-invest Vehicle

[1] As of Q4 24
[2] EVAF I and (where applicable) associated co-investment blended gross returns on exited investments before vehicle-level fees, expenses and carried interest as of Q3 24

DFI Execution

DFI focused on end-to-end value creation through experienced multi-disciplinary team

End-to-end Capabilities

Origination

Experienced acquisitions team with strong local off-market sourcing channels

Execution

Flexibility to execute business plans in-house, build operating platforms or work with local and / or specialist partners when optimal

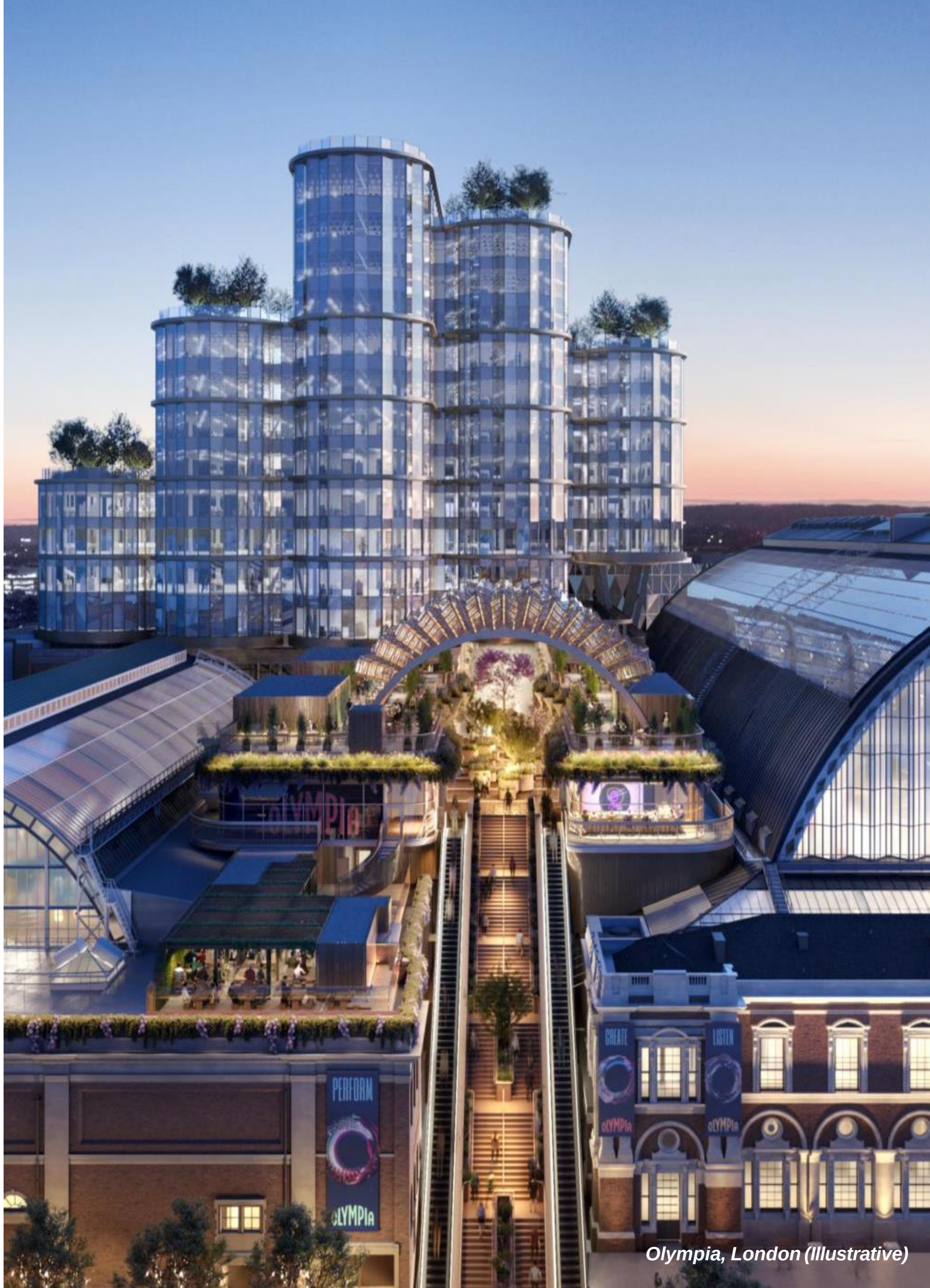
Internal asset and development management capabilities with track record of highly complex project execution

Client Servicing

In-house DFI finance, legal and investor relations teams providing tailored support and bespoke reporting

Platform Building

Platform building to create thematic, stabilised product for institutional long-term ownership central to strategy, while ensuring exit optionality from day one to optimise business plans



Olympia, London (Illustrative)

DFI Target Market / Themes

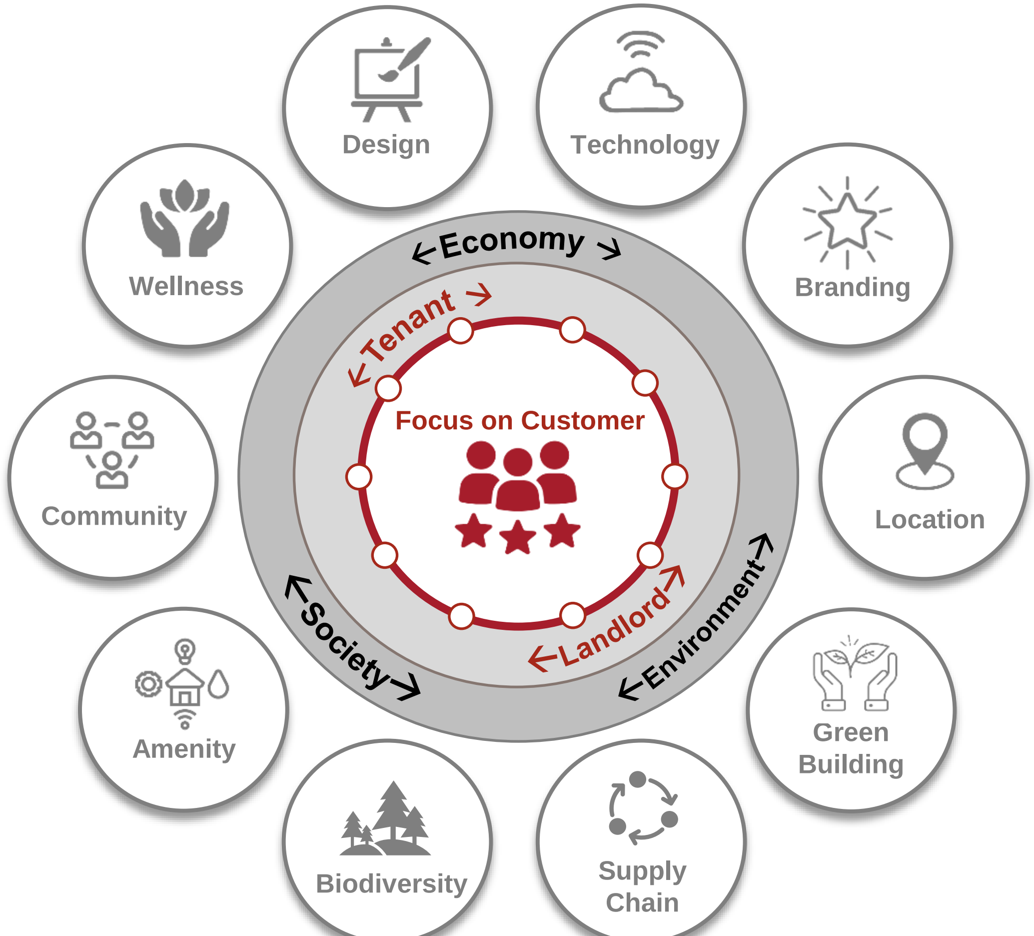
Thematic strategies focused on high-conviction Living subsectors in target geographies with DFI's established presence / track record

Target Markets	Conviction Themes
UK & Ireland	Flexible Living[1] Student Accommodation
Denmark	Flexible Living Single-Family Rental
Spain	Build-to-Sell Affordable-for-Rent
Germany	Special Situations

[1] Flexible Living **defined as** rental accommodation which is professionally managed and offers greater flexibility than traditional rental accommodation, typically targeting single tenants

Evolution of Real Estate

Capturing opportunities arising from real estate's evolution to space as service by adopting holistic, customer-centric approach



Old B2B Model

New B2C Model – focus on sustainability of formats and operations

Investment Approach

Consistent framework applied to investing, aimed at asymmetric returns with rigorous focus on capital preservation and ESG

1 Thematic

Research and develop scalable investment themes that capitalise on market cycles, dislocation and / or trends

2 Value-Oriented

Acquire assets below intrinsic value, typically off-market, to provide foundation for future profit and create margin of safety

3 Active Value Creation

Transform transitional assets to meet needs of customers and long-term investors through active asset management

4 Partnership

Build platforms or partner with niche operating partners, aligned through values, co-investment and back-ended incentives

5 Leverage

Adopt moderate approach in amount and duration to reflect stability of each asset's cash flow with flexible, borrower-friendly terms

6 Risk Management

Understand, recognise and control risk as integral part of decision-making and organisational processes over investment lifecycle

Berlin (Illustrative)

Development Contracts

Development Contracts: Key Risks and Types

Structuring contracts key in development projects

Key Risks

- In a development project, the main risks for the Project Owner relate to:
  - The completion deadline → Will the construction be completed on time?
  - The development costs → Will the project cost more than anticipated?
- In all contracts executed by the Project Owner, the construction timeline and cost risk must be mitigated
- The effectiveness of such contractual provisions depend in part on whether the design and execution of the project are handled together or separately

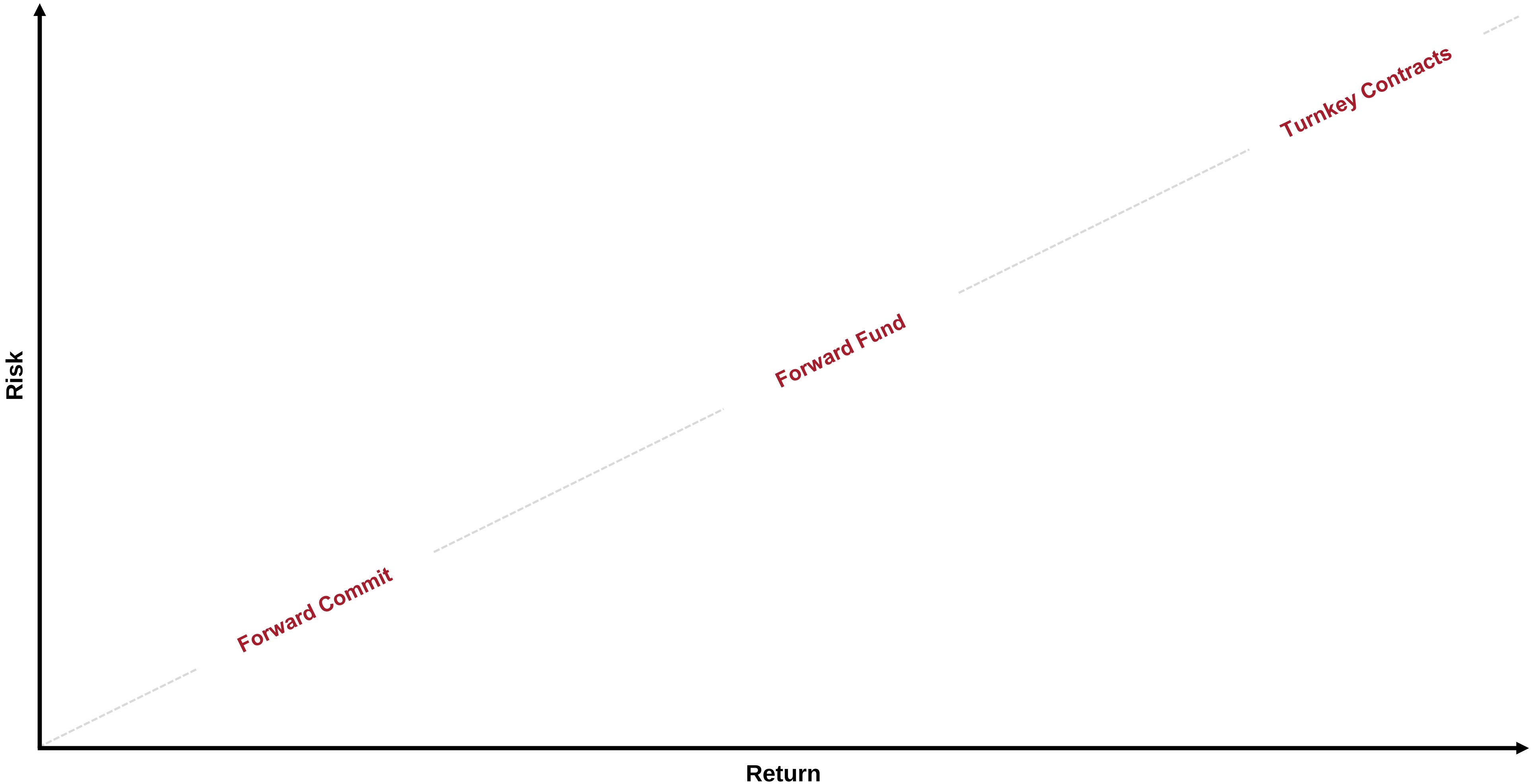
Main Development Routes

- The 3 most frequently development routes are (i) Fixed-Price / Turnkey Contracts, (ii) Forward Fund and (iii) Forward Commit

- **Turnkey Contracts**: typically structured all-in price with contractor, although element of cost risk and timing risk
- **Forward Fund**: limited construction risk and timing mitigated by coupon on equity
- **Forward Commit**: limited construction and timing, as deal subject to PC

Development Contracts: Risk-Return Profile

Risk-Return Profile b/w Construction Types



Development Contracts: Turnkey Contracts

Turnkey contract focus

Rule	Definition

Price Agreement	• Price agreed in advance between the parties, either:
	  • On a lump-sum basis (i.e. fixed and final price)
	  • On a remeasurement basis (i.e. price set according to agreed unit rates)
	  • On a cost-plus basis (i.e. price set according to actual expenditure plus a % to cover overheads, taxes and profit margin)

Price Adjustment	• In lump-sum contracts, price is final, except in cases of:
	  • Project Owner's misconduct (interference, deliberate concealment of ground defects, etc.); and/or
	  • Additional work requested by the Project Owner
	• Regardless of the provisions of the contract, the General Contractor is entitled to renegotiate the price in the event of fault on the part of the Project Owner’s other co-contracting parties (e.g. defective and/or missing design elements, late instructions, incorrect information, etc.)

Completion Deadline	• No legal requirement to stipulate a deadline in the contract. In practice, however, strict completion deadline always negotiated between the parties • If the completion date is not met, the contracts generally provide for late-delivery penalties, typically capped at a certain percentage of the contract amount. It should be noted that payment of such penalties should not release the contractor from its obligation to complete the works • The contract will provide for deferral of the completion date in the event of force majeure or legitimate grounds for delay (as contractually defined)

Development Contracts: Forward Fund

Forward fund focus

Rule	Definition
Price Agreement	• Lump-sum fixed price including cost of works and Developer's remuneration (no breakdown between the two components), with adjustment possible if surface area delivered differs from that agreed • The Developer keeps the difference if project completed for less than the price agreed and, conversely, bears any overspend • Timing risk compensated by way of coupon on equity

Price Adjustment	• Price is final, except in cases of:
	  • Project Owner misconduct (interference, deliberate concealment of ground defects, etc.)
	  • Additional work requested by the Project Owner

Completion Deadline	• Same as for turnkey contract, with added benefit of coupon on equity • Developer typically cannot renegotiate the completion deadline on the grounds of fault on the part of third parties contractors / design team

Development Contracts: Forward Commit

Forward commit focus

Rule	Definition
Price Agreement	• Sale price includes cost of the land and the works, with adjustment possible if surface area delivered differs from that agreed
Price Adjustment	• Price is final, except if additional work requested by the Purchaser
Completion Deadline	• Same as for turnkey contract, with typically to have set project completion date • Developer typically cannot renegotiate the completion deadline on the grounds of fault on the part of third parties contractors / design team

Valuation Methods

Valuation Methods: Key Methods

- Comparable
- Residual / Dev Appraisal
- Replacement Cost
- Investment Yield
- CF modelling

Key Methods Cont.

- **Comparable**
  - Forms basis of almost all valuation exercises
  - Suitable comparables and make an adjustment (micro or product driven)
  - Typically cap values looked at both entry / exit
  - Either psf / psm or per unit basis i.e. student accommodation / residential / hotels

- **Residual / Dev Appraisal**
  - Understanding value where there is development potential
  - Think end value and build / financing costs to achieve this
  - Residual calc shows where land value should be
  - Understanding profit metrics: on costs and on revenue

Key Methods Cont.

- **Replacement Cost**
  - Good reference check on acquisition basis
  - What it costs to build / replace on “brick by brick” basis

- **Investment Yield**
  - Used for income producing opportunities (most frequented)
  - Rental income capitalised to produce value (simple method)
  - Or more complex, see yields below as ref

Yields

- **Net Initial Yield**: Current Net Operating Income / (Price x (1+acquisition costs%))
- **Yield on Cost**: Exit Net Operating Income / ((Price + Total Development Cost) x (1+acquisition costs%))
- **Net Exit Yield**: Exit Net Operating Income / (Price x (1+acquisition costs%))

Key Methods Cont.

- **CF Modelling**
  - DCF = Discounted Cash Flow
  - Typically used in industry when valuing an income producing or development opportunity
  - Most probable cash flow based on market knowledge (i.e. per case study)
  - Investors target IRR / required return determines the price

Operating Partners

Operating Partners

Key part of RE-PE investing

- Role
  - Property Management
  - Asset Management
  - Development Management
- Incentives
  - Fees
  - Promote

Case Study

Case Study: Factors to Consider

Price is a function of numerous assumptions

Key factors:

- Market / Location
- Physical / Bricks & Mortar
- Operational
- Financing
- Exit

Case Study: Factors to Consider

Market / Location?

Market / Location

- **Market Performance:**
  - Macro: Global, Europe, Denmark
  - Micro: Copenhagen, local area
  - Occupational & Investment
- **Market Potential:**
  - Area regeneration
  - Transport
  - Other factors

Case Study: Factors to Consider

Physical?

Physical

- **Condition:**
  - Old / new build
- **Amenities:**
  - Car parking, showers, bike store, café
- **ESG:**
  - Certifications
- **Planning:**
  - Meets local policy
- **Technical:**
  - DD ensure no defects / M&E in good shape

Case Study: Factors to Consider

Operational?

Operational

- **Rental Income**
  - Per unit / per month calc
  - Usually 6mth fixed contracts, then rolling with 1-3mth breaks
  - CPI indexation on a p.a. basis
- **OpEx**
  - Typically ~20-30% of income
  - Includes: insurance, service charge, waste disposal and cleaning, land property tax, R&M, PM fees, etc

= Net Operating Income

- **Capex**
  - Upfront for furnishings / common rooms
  - Maintenance on-going (usually in OpEX if recurring vs. one-off)
- **How to Operate?**
  - Management agreement (OpCo vs PropCo)
  - Long Lease (OpCo vs PropCo)

Case Study: Factors to Consider

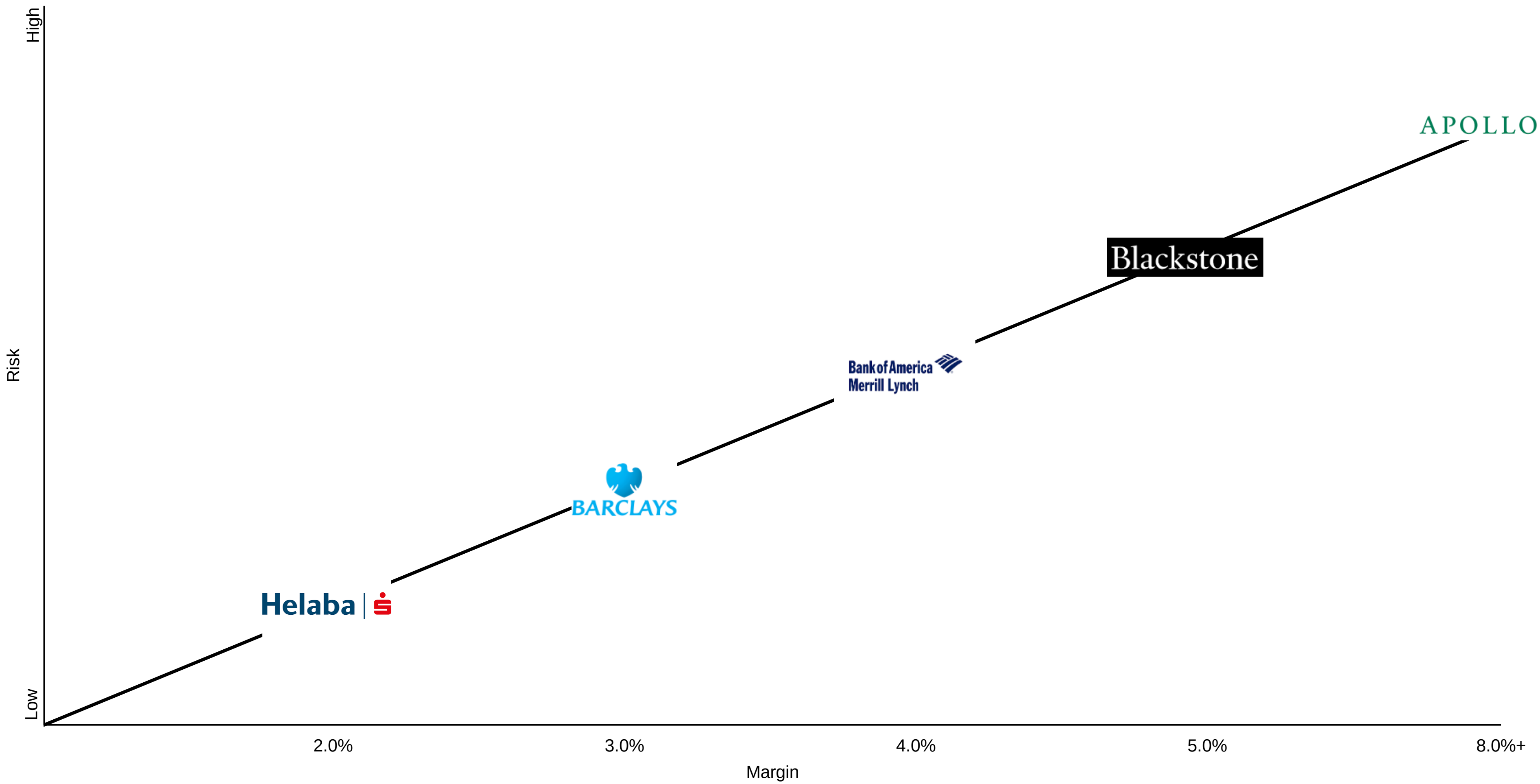
Financing?

Financing

- **Types of Financing**
  - Acquisition
  - Development
- **Key Financing Terms**
  - Term
  - Fees (Upfront, Margin, Exit)
  - Covenants
- **Hedged vs Unhedged**
  - Swap vs Cap
- **Refinancing**

Financing

Lenders



Case Study: Factors to Consider

Exit

Exit

- **Timing**
- **Type of Seller / Liquidity**
- **Yield Evidence:**
  - Review comps
  - Think: Size, Location etc.
- **Debt market:**
  - Think: risk free rate (10 year government bond)
  - Look at yield spread

Case Study: Modelling

Modelling: Inputs / Process

- A high quality underwriting model should be:
  - **Easily auditable:** for others (and yourself)
  - **User friendly:** formatting, navigation and structure
  - **Dynamic:** build for current and future need, input vs formulas, toggles
  - **Clean:** housekeeping is a pain

Modelling: Outputs

Summary of Current Proposal

Illustrative Sources & Uses

	Sources EUR	Sources %		Uses EUR	Uses %
A) Sources and Uses - Acquisition					
Equity			**Purchase Price**		
Fund 90%	90.0		Land acquisition	93.0	
Operating Partner - 10%	10.0				
	100.0	***100%***		**93.0**	***93%***
Debt					
Domestic Lender			**Acquisition cost**		
	--	***0%***	Broker fee	2.0	
			Transaction costs ("TC")	4.0	
			Other costs[2]	1.0	
				7.0	***7%***
Total	**100.0**	***100%***	**Total**	**100.0**	***100%***
B) Sources and Uses - Development					
Equity			**Purchase Price & Development**		
Fund 90%	90.9		Land acquisition	93.0	
Operating Partner - 10%	10.1		Development cost	70.0	
	101.0	***57%***	Capex requirements	5.0	
				168.0	***95%***
Debt			**Other**		
Develop. Loan (incl. interest)	75.0		TC (incl. broker fee)	1.0	
	75.0	***43%***	Accu. interest	5.0	
			Other costs	2.0	
				8.0	***5%***
Total	**176.0**	***100%***	**Total**	**176.0**	***100%***

Illustrative IRR and MOIC

	5 Year IRR	5 Year MOIC
	Sponsor	**Sponsor**
DFI Case		
Exit at 4.00% NIY	17.7%	1.9x
Exit at 3.75% NIY	20.7%	2.2x
Commercial Advisor Case		
Exit at 4.00% NIY	13.0%	1.4x
Exit at 3.75% NIY	18.3%	1.8x
Downside Case		
Exit at 4.00% NIY	14.5%	1.5x
Exit at 3.75% NIY	18.5%	1.9x
Updise Case		
Exit at 4.00% NIY	24.6%	2.4x
Exit at 3.75% NIY	31.2%	3.0x

One Slide Transaction Summary

Modelling: Outputs

Financial Projections Example

in £	Totals	2024	2025	2026	2027	2028
Acquisition Price	(425)	(425)	--	--	--	--
Construction costs	(700)	(150)	(366)	(183)	--	--
Net purchase price	(175)	--	--	(175)	--	--
Transaction costs	(23)	(23)	--	--	--	--
Project monitoring	(6)	(1)	(4)	(2)	--	--
Total entry basis	**(1,329)**	**(599)**	**(370)**	**(360)**	**--**	**--**
NOI	153	--	--	14	69	70
Capex	(36)	--	--	(36)	--	--
AM fee (incl. VAT)	(12)	--	--	(1)	(6)	(6)
DM fee (incl. VAT)	(12)	(4)	(5)	(3)	--	--
Letting fee	(11)	--	--	(5)	(4)	(2)
Corporate costs	(2)	(0)	(1)	(1)	(1)	(1)
Other expenses	(38)	(4)	(6)	(9)	(10)	(9)
Property CF (pre tax)	**40**	**(9)**	**(12)**	**(41)**	**49**	**53**
Net sales proceeds	2,042	--	--	--	--	2,042
Deposits	--	--	--	28	1	(29)
Unlevered CF (pre tax)	**754**	**(608)**	**(382)**	**(372)**	**49**	**2,066**
Loan drawdown / (repayment)	8	150	366	625	--	(1,134)
Amortisation	(45)	--	--	(9)	(18)	(18)
Interest (incl. guarantee interest)	(115)	(0)	(1)	(23)	(46)	(45)
Financing fees (incl. stamp duty)	(25)	(13)	--	(12)	--	--
Financing CF	**(178)**	**137**	**366**	**581**	**(64)**	**(1,198)**
Taxes	(236)	--	--	--	(3)	(233)
AM promote	(31)	--	--	--	--	(31)
Levered CF (post tax / prom.)	**309**	**(471)**	**(16)**	**209**	**(17)**	**604**

IRR (levered, post AM promote)	**17.7%**
EM (levered, post AM promote)	**1.91x**

Tell the Story | Make Things Easy

Modelling: Outputs

Sensitivity tables

Sensi Table 1: Exit Timing (Years) p.a. vs Rent Growth p.a. (IRR/EM)

Rent Growth p.a. (%)		Exit Timing (Years)				
		3.00 Years (100.0%)	3.50 Years (50.0%)	4.00 Years --	4.50 Years 50.0%	5.00 Years 100.0%
3.0%	(1.0%)	19.0% / 1.68x	17.1% / 1.73x	14.4% / 1.70x	13.2% / 1.73x	12.3% / 1.76x
3.5%	(0.5%)	20.2% / 1.73x	17.2% / 1.74x	16.0% / 1.80x	15.1% / 1.87x	14.4% / 1.93x
4.0%	--	21.4% / 1.79x	18.6% / 1.82x	**17.7% / 1.91x**	16.9% / 2.01x	16.4% / 2.11x
4.5%	0.5%	22.6% / 1.84x	20.0% / 1.89x	19.3% / 2.02x	18.7% / 2.15x	18.3% / 2.29x
5.0%	1.0%	23.8% / 1.89x	21.4% / 1.97x	20.8% / 2.12x	20.4% / 2.29x	20.2% / 2.47x

Sensi Table 2: Rent Growth p.a. vs Stab. Occupancy (IRR/EM)

Stab. Occupancy (%)		Rent Growth p.a. (%)				
		3.0% (1.0%)	3.5% (0.5%)	4.0% --	4.5% 0.5%	5.0% 1.0%
80.0%	(5.0%)	12.5% / 1.58x	14.1% / 1.68x	15.8% / 1.78x	17.4% / 1.88x	18.9% / 1.99x
82.5%	(2.5%)	13.4% / 1.64x	15.1% / 1.74x	16.7% / 1.84x	18.3% / 1.95x	19.9% / 2.05x
85.0%	--	14.4% / 1.70x	16.0% / 1.80x	**17.7% / 1.91x**	19.3% / 2.02x	20.8% / 2.12x
87.5%	2.5%	15.4% / 1.77x	17.0% / 1.87x	18.6% / 1.98x	20.2% / 2.08x	21.8% / 2.19x
90.0%	5.0%	16.4% / 1.83x	18.0% / 1.93x	19.6% / 2.04x	21.1% / 2.15x	22.7% / 2.26x

Sensitise Key Value Drivers and Show Outcome

Case Study: Feedback

Case Study Feedback

- **Investment Paper – What you did well:**
  - **Breadth |** Breadth of information good
  - **Process |** Assumptions relayed appropriately
  - **Conclusion |** Conclusions firm and relayed clearly
- **What you can improve:**
  - **Key Value Drivers |** Focus on the key levers of value
    - Think: (i) Rents (ii) Refinancing (iii) Exit Yield
  - **Structure |** Make it easy for the reader
    - Structure reports into key themes – headings!!!
  - **Downside Risk Protection |** What can go wrong?
    - Risks and how to mitigate – qualitatively and quantitatively

Case Study: Feedback

The project is strategically positioned for a couple of reasons. Firstly, the investment opportunity aims to take advantage of macroeconomic demand drivers like internal migration and changes in the size of demographic households in Denmark. Also, this investment is in line with the growing one-household trend and the supply of smaller size ap[illegible]ents, which are les[illegible] 50 sqm in size. Secondly, Denmark has very high economic resiliency, [illegible]upport[illegible] wage support programmes, and workforce expansion programmes, su[illegible]ates to secure jobs. There is strong post-development potential in the project [illegible]izing programmes that could bridge the gap between graduating and employ[illegible] lease contracts. The proximity of the project to Copenhagen's city [illegible]round [illegible]cial space would also provide additional income from new retailer[illegible]ally, the project's [illegible]g ESG credentials and sustainable design, aligned with local DGNB green building standards, ensure long-term ESG compliance and would attract investors focused on green living. This can also lead to reduced utility costs, providing additional tenant benefits depending on whether the lease structure is gross or net.

Even if the content is great, always break down into subheading and paragraphs

Don't "blurb" down paragraphs | Break things down, Rule of 3!!

Case Study: Feedback

- **Model – What you did well:**
    - **Data Integrity |** Quality inputs for Quality Outputs
    - **Clear Presentation |** Input, Output, Summary
- **What you can improve:**
    - **Modelling Convention |** Inputs in Blue, Uniform Formulas (no hardcodes!!!)
    - **Tabs |** Try to limit number of tabs, key ones: Assumptions – CF – Output
    - **Presentation |** Try to make more clean / institutional
    - **Avoid IF functions**
    - **CF output |** Clean output in chorological order (acquisition -> construction - > operation -> sale -> financing)

Thanks & Questions?